MANG3054: Marketing in the Digital Age

Lecture 6 – Consumer Behaviour and Customer Insight in the Digital Age

Dr Steve Chen

Module Structure

Week No.	Lecture Topic
1	Introduction: Traditional Marketing vs Digital Marketing
2	Marketing Environment in the Digital Age
3	Segmentation, Targeting, and Positioning in the Digital Age
4	Customer Engagement and Social Media
5	Content Marketing and Influencer Marketing
6	Consumer Behaviour and Customer Insight in the Digital Age
7	Search Marketing and Online Advertising
8	Email Marketing and Digital Customer Relationship Management
9	Online PR and Crisis Management
10	Marketing Research in the Digital Age
11	Ethics & The Future of Digital Marketing
12	Discussion Forum. Assignment Q&A

Why is this lecture relevant?



Structure for the assignment:

Title page

Introduction

A brief introduction to Popcorn Kitchen and the relevant UK industry.

(Roughly 300 words)

Digital challenges and opportunities

Overview of two key challenges and two key opportunities that Popcorn Kitchen faces in the digital age.

(Roughly 400 words)

Target market & Customer persona profile

Identify and justify the segment to target (e.g., demographics, behaviours, attitudes, motivations, brands, etc.). Based on this segment, create a persona profile (visual format) for Popcorn Kitchen in the UK. The persona profile should reflect an existing segment and be based on research. Justify your choices.

(Roughly 500 words)

Customer engagement: Conceptualisation and evaluation of strategies

Define customer engagement and its dimensions. Considering the customer persona, evaluate Popcorn Kitchen's digital marketing strategies (e.g., content development strategy, customer experience strategy, social media strategies, etc.) used in the UK to engage with customers in light of the digital customer literature. Practical observations and examples of Popcorn Kitchen's customer engagement should be used to justify the arguments.

(Roughly 1200 words)

Recommendations

Considering the existing literature/theories, and the customer engagement strategies discussed in the previous section, suggest recommendations for the business to enhance customer engagement. Recommendations should be realistic and suitable for implementation over the next 6-12 months and should reflect informed judgement rather than a descriptive list of digital tools or tactics. Be creative and justify your recommendations.

(Roughly 600 words)

References

Appendix

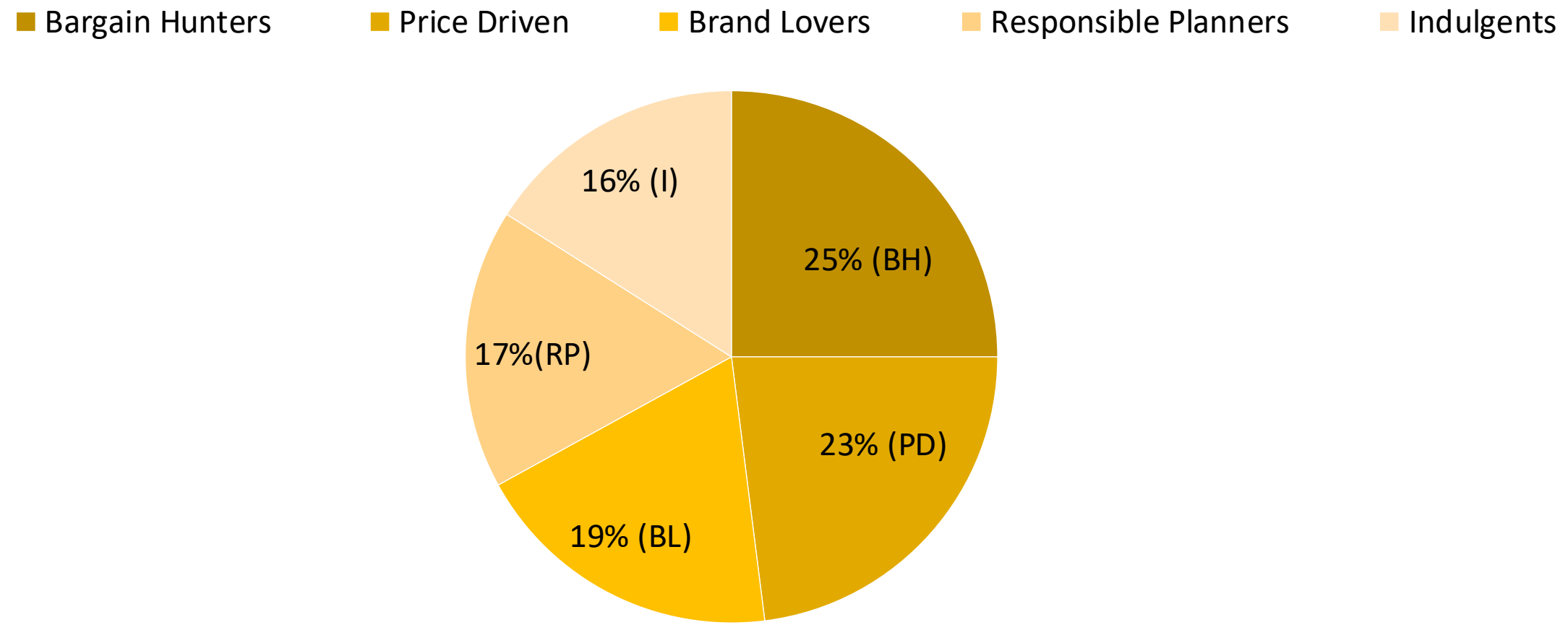
Learning Objectives



- Electronic Word of Mouth (eWOM)
- eWOM Management Strategies
- Customer Lifetime Value Management
- Customer Experience

Global Shopper Segments

(DHL E-Commerce Trends Report 2026)



Bargain Hunter (25%) ➔

- Shoppers hunt for bargains but are less price-constrained and more impulsive. These shoppers can afford to buy in bulk and are less interested in shopping online.

- Shoppers can be segmented based on their attitudes towards bargain hunting, promotions and price comparison and the degree to which they stick to their pre-planned purchases vs. buying on impulse.

- Consumers in different countries may exhibit similar shopping behaviour even through they are geographically and financially different

Price Driven (Price Sensitivity, 23%)➔

- With fixed budgets for grocery shopping, shoppers in this group are more likely to make a shopping list, compare price and go out of their way to find the stores with the lowest price.

Brand Lovers (19%) ➔

- Shoppers are spending money on brands that may be more expensive than alternatives.
- These shoppers are the ones who are more influenced by sales representatives and place greater value on convenience.

Responsible planners (17%)➔

- Shoppers are on a fixed budget (price sensitivity) and always compare prices.

- These shoppers most likely to buy online and have changed their habits to shop in a more sustainable way.

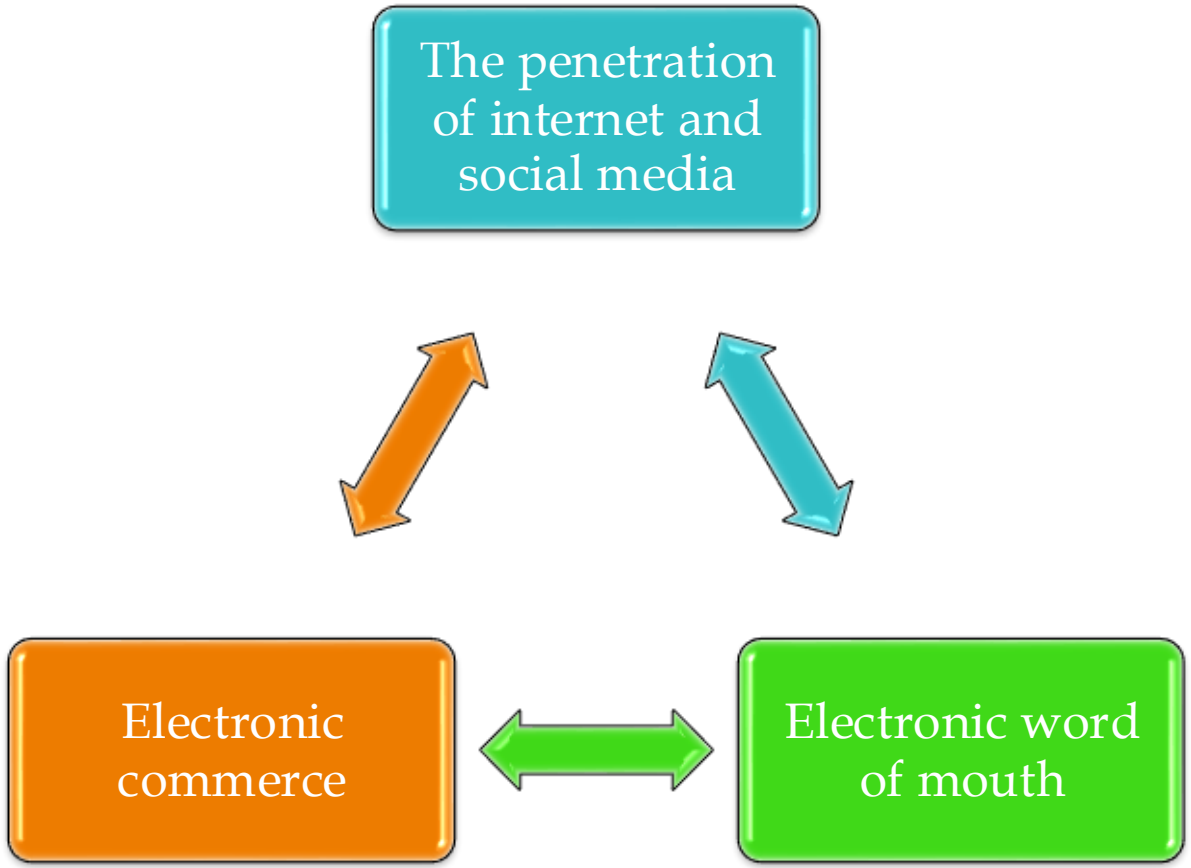
Indulgent (16%) ➔

- The **most impulsive group**, this group is attracted to new products in store and are more likely to choose the good tasting over the healthy option. i.e. iPhone, gaming console, new fashion design every year….etc.

- These shoppers are happy to spend more to save time and don't mind paying more for branded products.

Electronic Word of Mouth (eWOM)

The Impact of Digitalisation on Consumer Behaviours

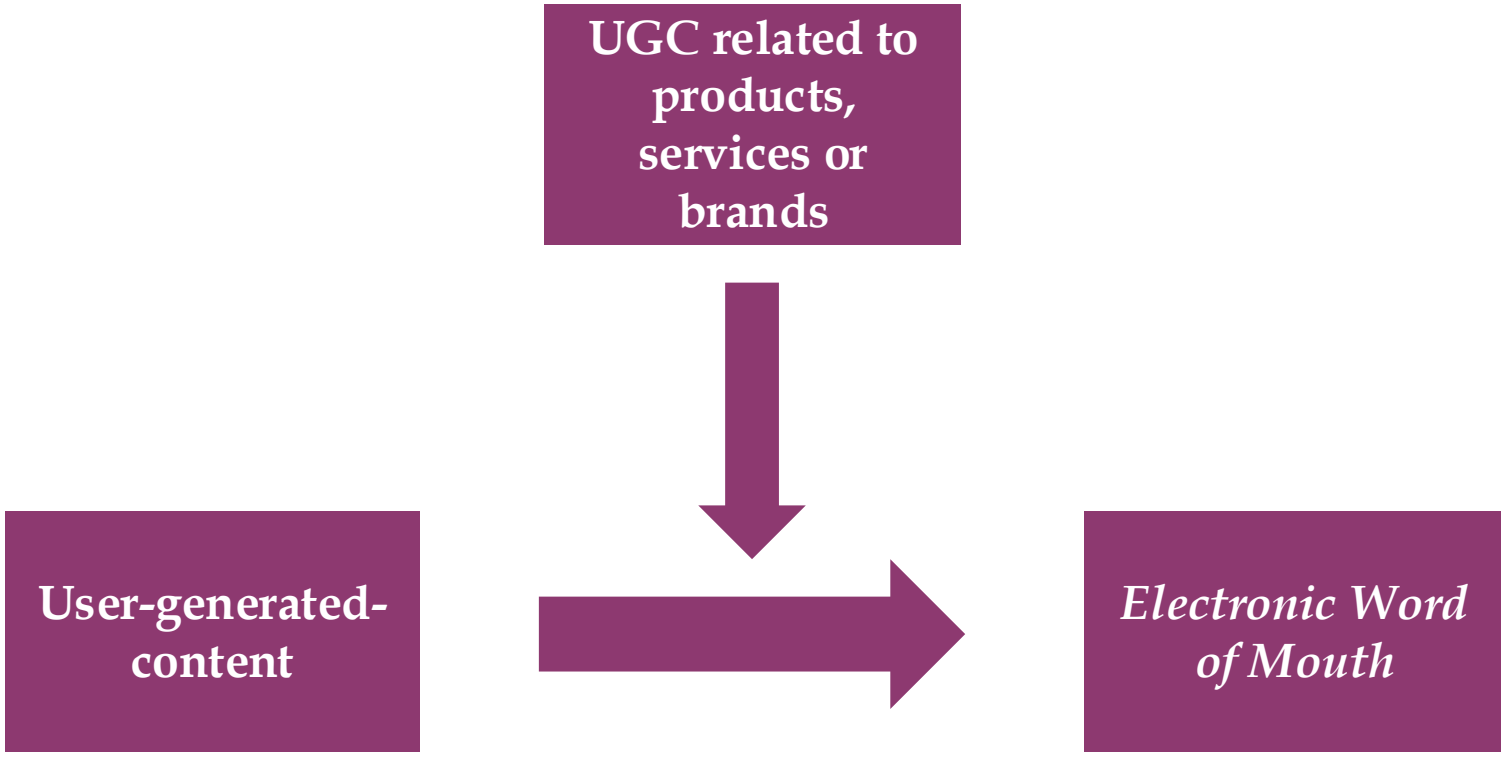


User Generated Content (UGC)

"User-Generated-Content (UGC) refers to media content created or produced by the general public rather than paid professions and primarily distributed on the Internet"

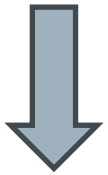


We are not the same! - UGC and eWOM



eWOM 2.0

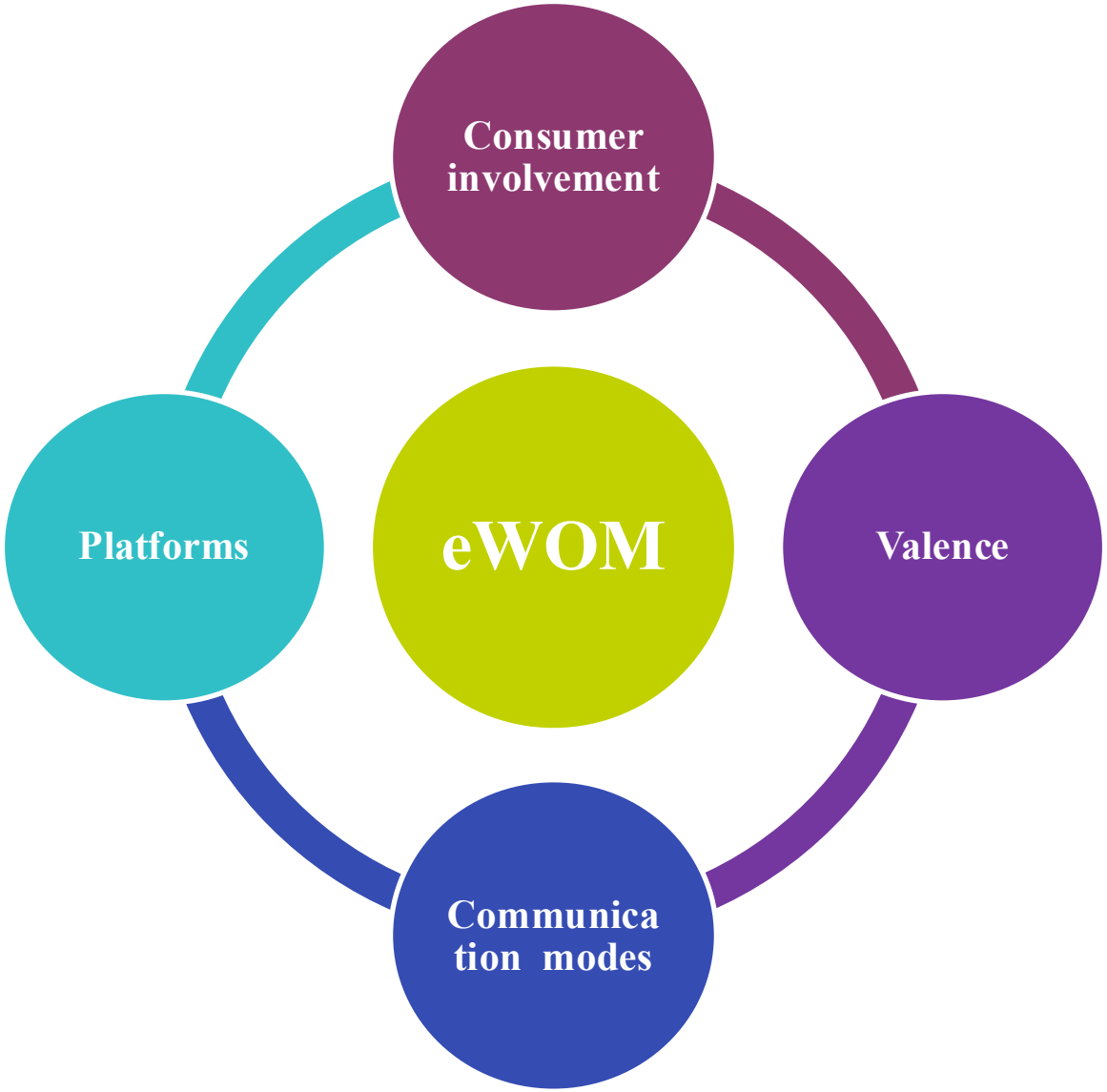
- Electronic Word-of-Mouth (eWOM) communication refers to any ***positive or negative*** statement made by potential, actual, and former ***customers*** about a ***product, service or company*** via the ***Internet.***



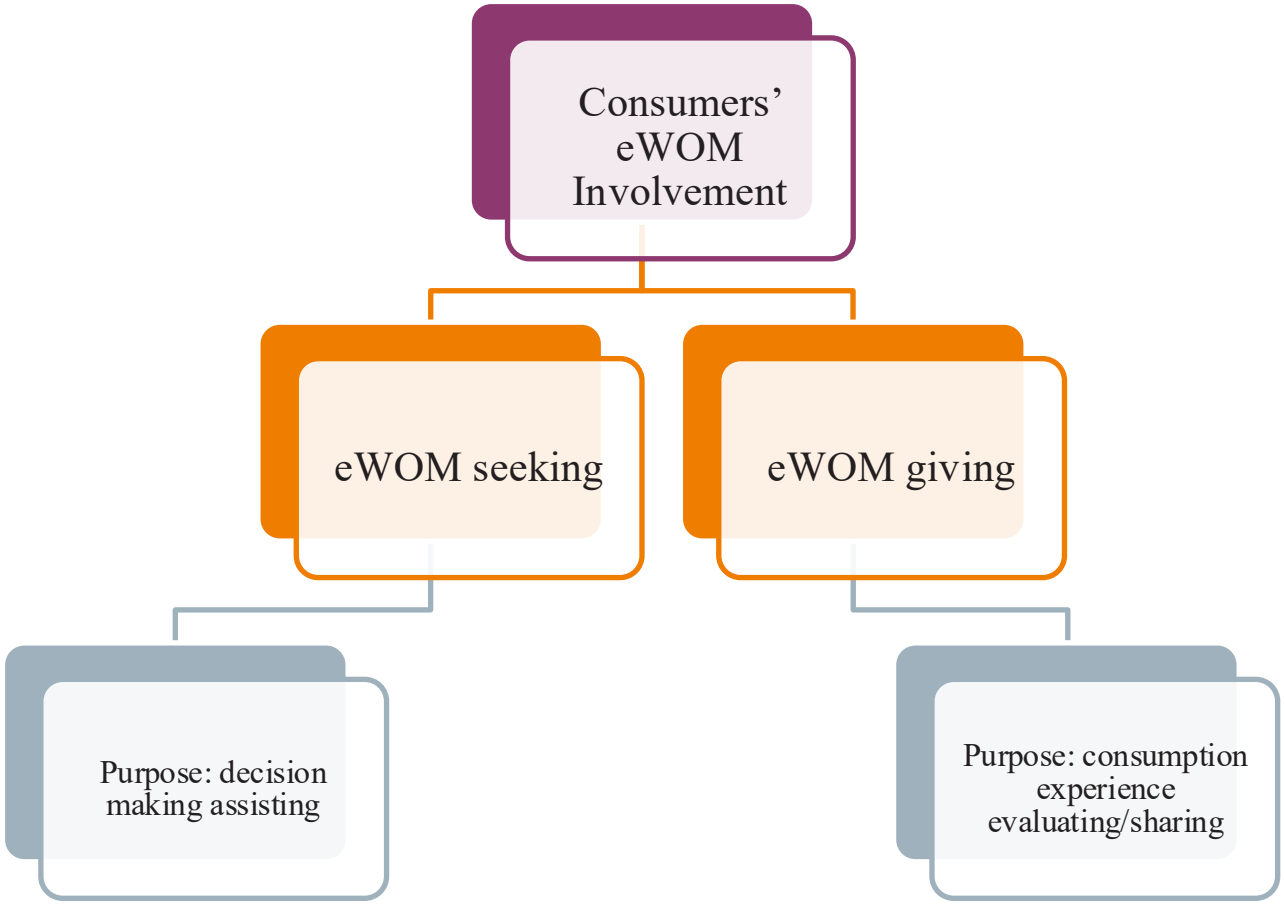
- Electronic Word-of-Mouth 2.0 (eWOM 2.0) communication refers to ***digital interactions*** occurring between consumers and various stakeholders (e.g., brands, experts, and fellow consumers), which are initiated by ***consumer-generated online content*** concerning **a** ***product, service, or brand.***

Essentials of eWOM Communication

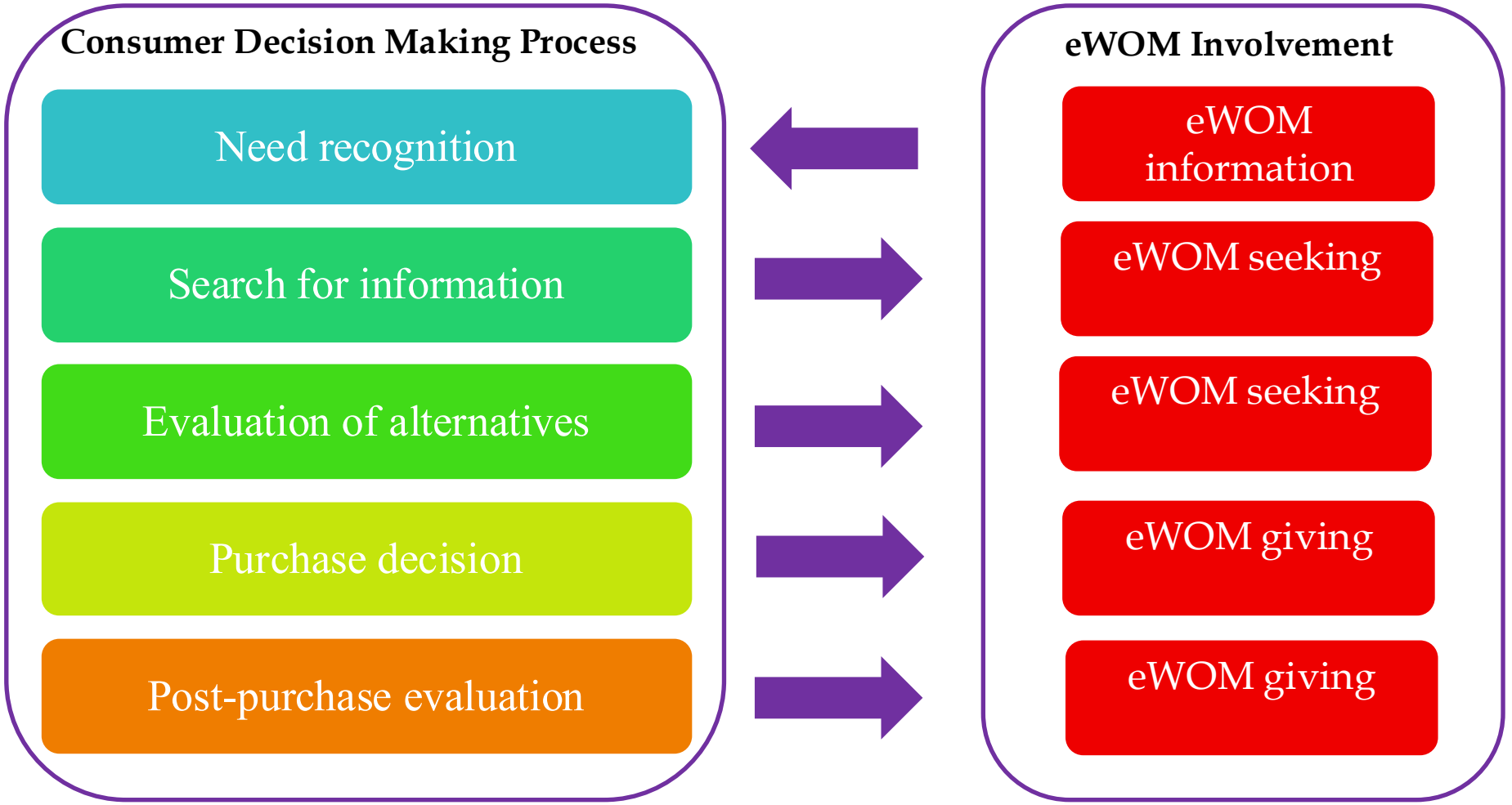
University of Southampton



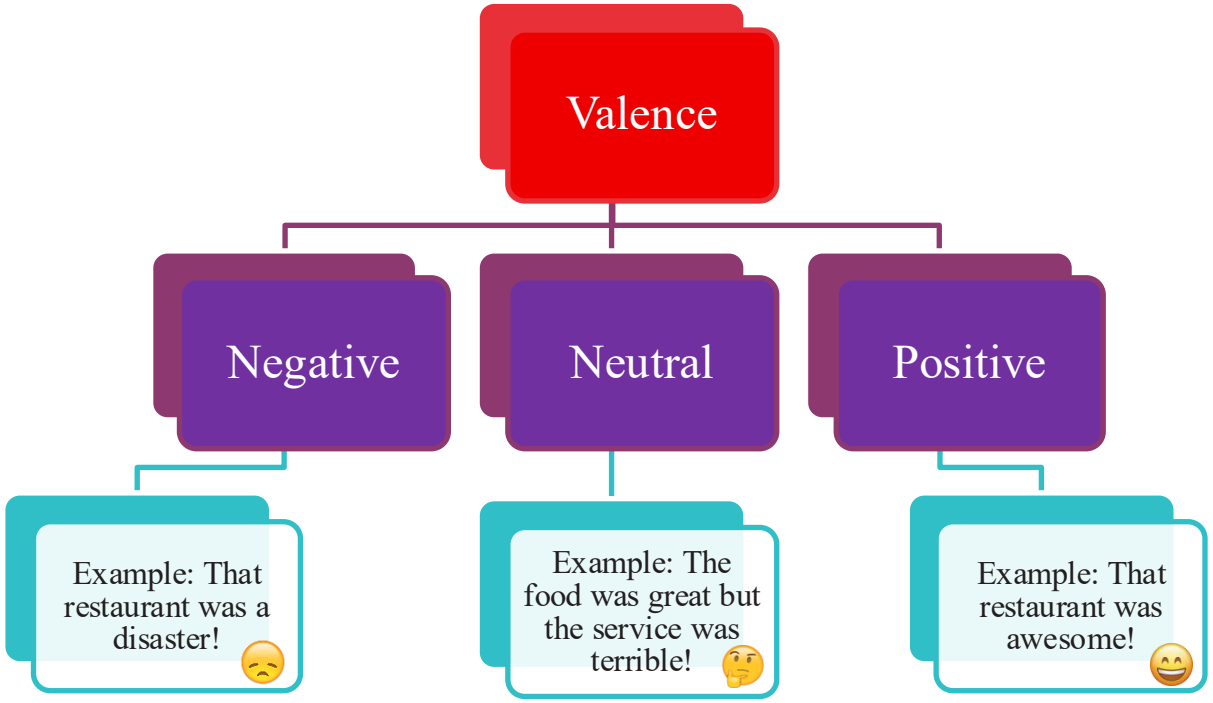
Consumer Involvement



Consumer Involvement



eWOM Valence



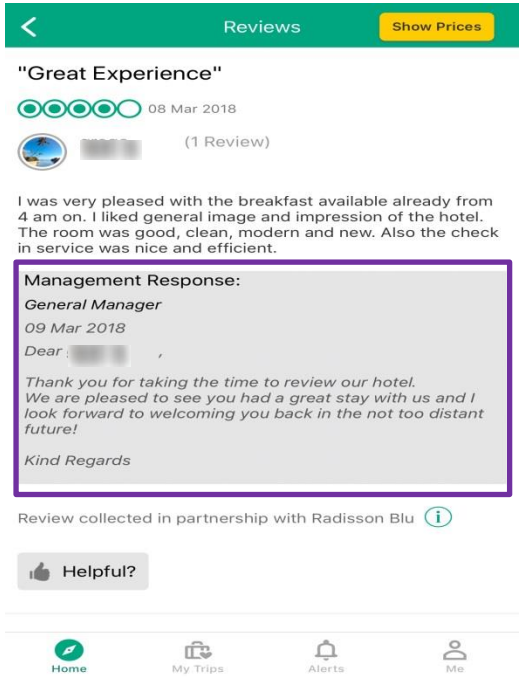
- In eWOM giving: consumers tend to give more positive eWOM than negative eWOM.
- In eWOM seeking: consumers tend to value negative and neutral eWOM more than positive eWOM.

Communication Modes

eWOM communication are usually initiated by the consumers and can be categorised into Customer-to-Customer (C2C) communication and Customer-to-Business (C2B) communication.

Example of C2C communication on Facebook





Example of C2B communication on TripAdvisor

Is eWOM equal to online reviews?



EWOM ≠ ONLINE REVIEWS

EWOM > ONLINE REVIEWS



WE ARE NOT SAME

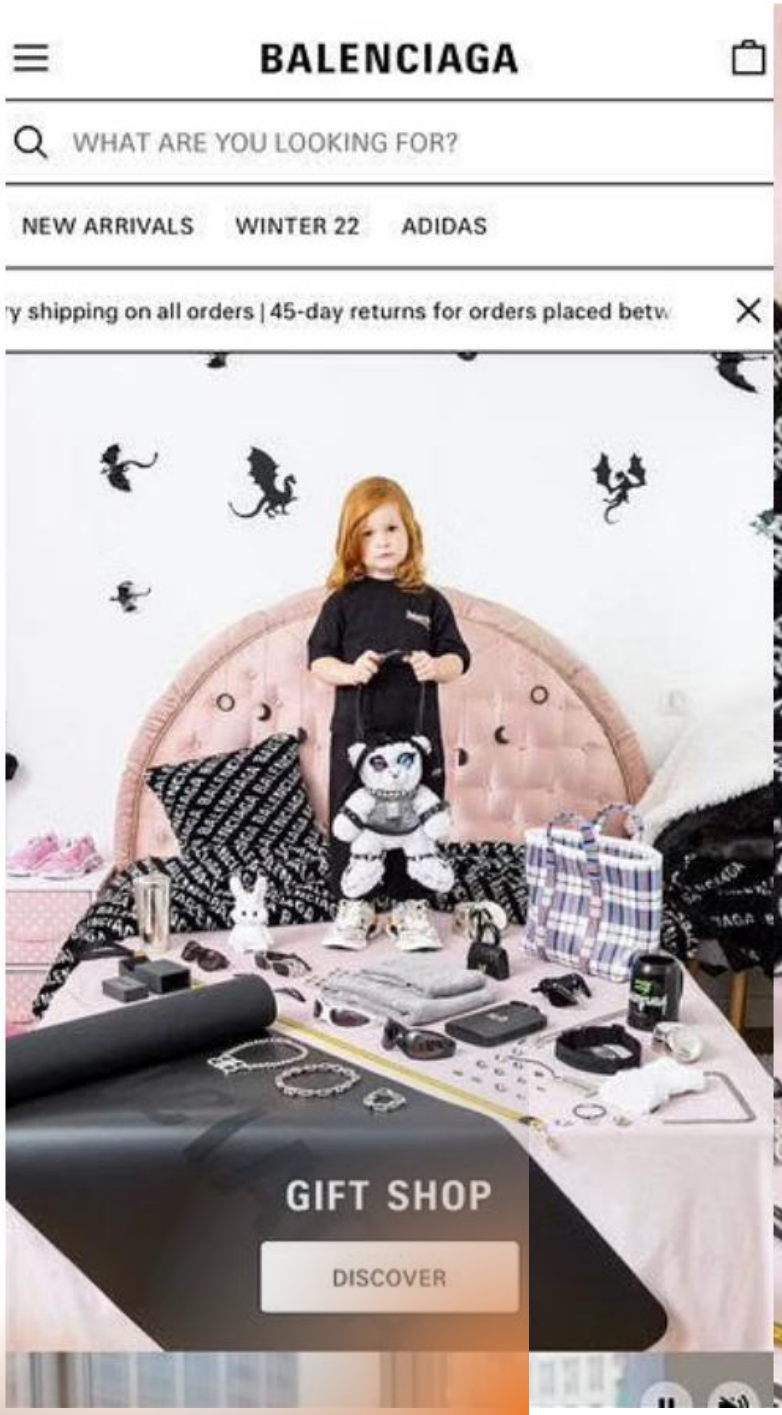
Considerations

Outcomes Orientation

Increased awareness —> Negative outcomes

- Balenciaga’s Improper Campaign

- - When it comes to the brand awareness, it is not always the more the better …





Digital brand association networks

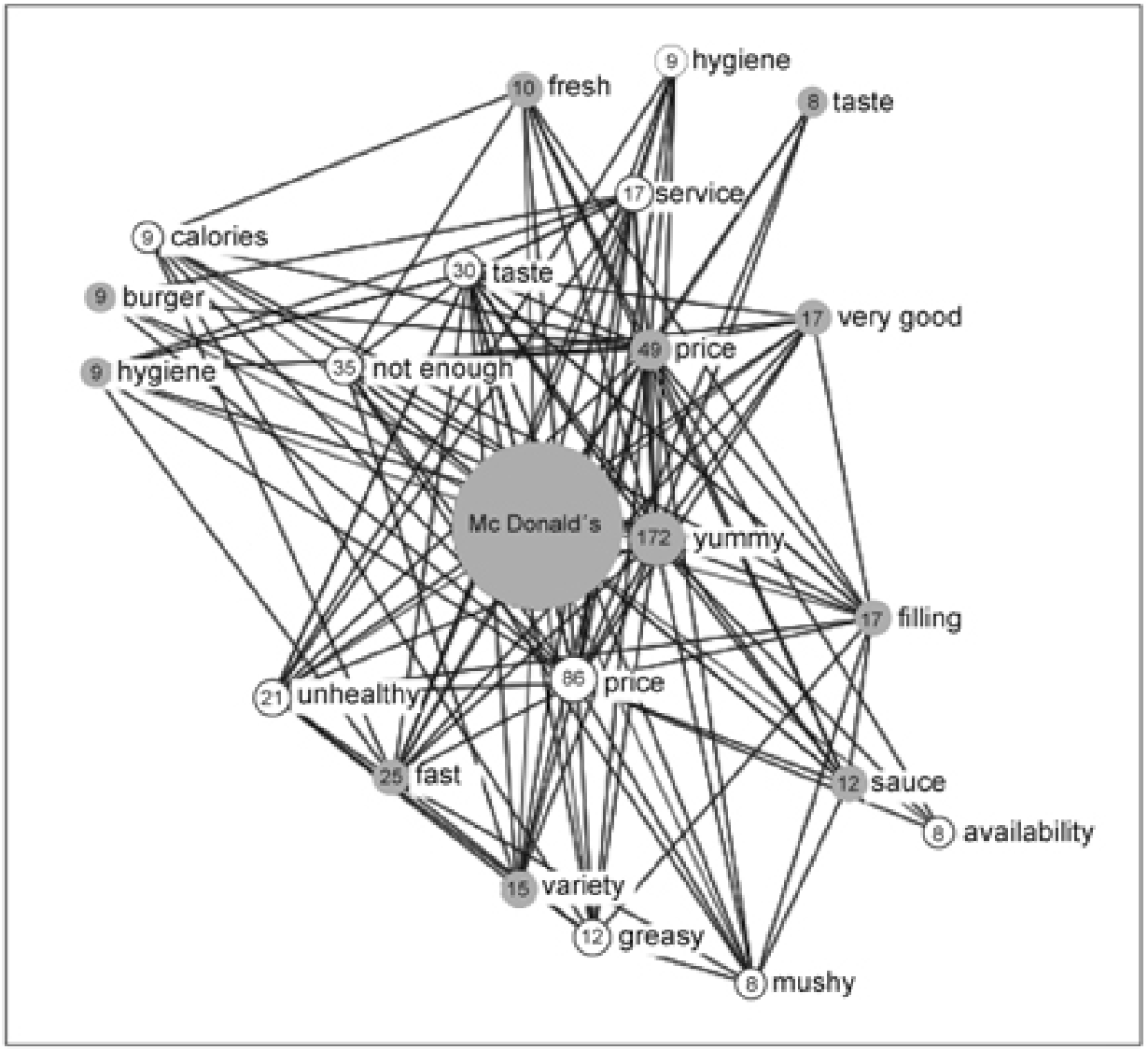
Consumers often share data in “words” rather than “numbers” [frequently unknowingly].

How: blogs, reviews, etc.

What are the most commonly held “associations” [a proxy for an attitude] a brand has? Sometimes this is referred to as eWOM.

Imagine an hour on Instagram, what words or terms do you think come up most frequently for McDonalds chatter?

Digital brand association networks



Grey circles represent favorable and white circles unfavorable brand associations

Most popular:

- Yummy (+)
- Price (-)
- Price (+)
- Not enough (-)

Problem:

- Sarcasm!!!

eWOM Management and Strategies


MUCH HAS BEEN SAID
ON THE DIGITALIZATION
OF RETAIL


AND YET YOU PROBABLY DON'T SEE MUCH
CHANGE IN YOUR DAILY SHOPPING LIFE
(aside from a few giant screens, maybe)


SHE IS EMPOWERED
88% OF SMARTPHONE USERS RESEARCH ONLINE AND BUY OFFLINE
20% OF SMARTPHONE USERS PURCHASE FROM THEIR MOBILE
72% OF SMARTPHONE USERS HAVE USED THEIR MOBILE IN STORE
Studies conducted In 12 countries by Digital LBI – April 2014


Welcome Anna,
enjoy today's special offer
50% OFF
MOBILE USAGE WHEN SHOPPING FOR CLOTHING
43%
MAKE PRICE COMPARISONS
43%
FIND PROMOTIONAL OFFERS
34%
FIND LOCATIONS/ DIRECTIONS
34%
FIND STORE HOURS


"SHOWROOMING" IS ON THE RISE
88%
88% of consumers say they would buy a product elsewhere if the discount was 10%
18%
18% of consumers report leaving a store after consulting their mobile and finding a cheaper product elsewhere


BUT "WEBROOMING" IS EVEN BIGGER
69% WEBROOM
SEARCH ONLINE AND BUY OFFLINE
46% SHOWROOM
SEARCH OFFLINE AND BUY ONLINE


Digital transformation by using data analytics

Service Failures & Negative eWOM



To Reply or Not to Reply – That is a Question…

- An average management response rate to online reviews is only 2.3%
- Businesses are struggling to decide whether to reply and how to reply, especially to the negative reviews that report failures.
- Responding to negative reviews does not always result in more positive attitude.
- Customers have different appeals depending on the failure severity

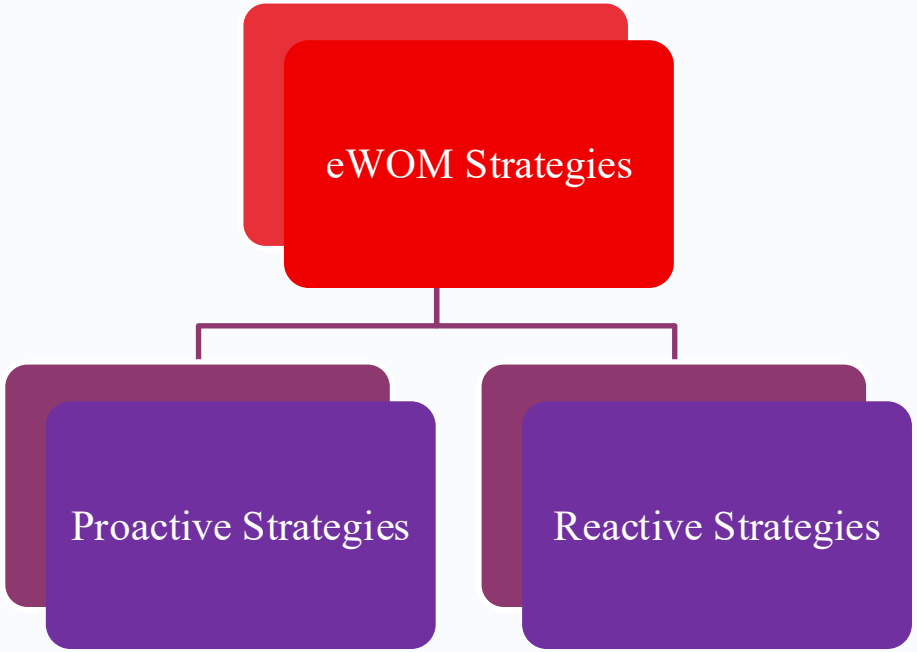
Failure severity	Customer appeals	Recovery strategy
High	Emotion-oriented	Timely-response
Low	Material-oriented	Compensation



Electronic Word-of-Mouth (eWOM) Strategies

Definition

Electronic Word-of-Mouth communication refers to digital interactions occurring between consumers and various stakeholders (e.g., brands, experts, and fellow consumers), which are initiated by consumer-generated online content concerning a product, service, or brand



Proactive eWOM Strategies

Definition

- Actions taken by the companies to trigger consumers' eWOM giving

Purpose

- Stimulating **positive** eWOM regarding the product/service/brand
- Assisting the product diffusion

Common Strategies and Examples

Referral reward



Free trial



Review postcard/Invite email



Reactive eWOM Strategies

Definition

- Actions taken by the companies to cope with eWOM information given by consumers

Purpose

- If **positive**, enhance customer loyalty and repurchase
- If **negative**, recover the failed product/service

Common Strategies

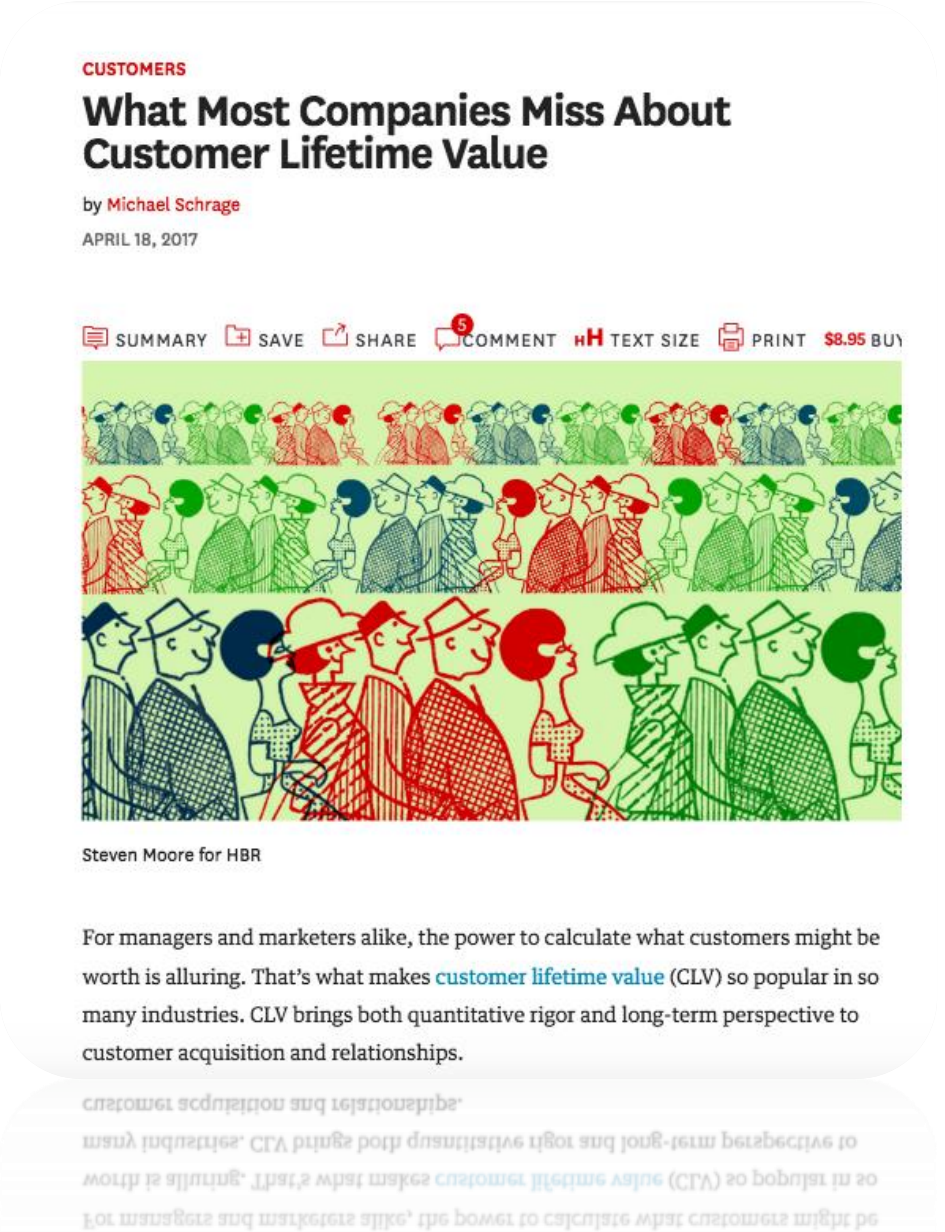
Valence	Positive	Negative
Action taken	• Expression appreciation • Expressing hospitality • (Giving coupon/voucher)	• Reacting in a timely manner • Expressing appreciation • Expressing apologies • (Proposing solutions)

Customer Lifetime Value Management

Michael Schrage (HBR)

Actually, our customers become more valuable when …

“they give us good ideas
they evangelize for us on social media
they reduce our costs
they collaborate with us
they try our new products
they introduce us to their customers
they share their data with us”



CUSTOMERS

What Most Companies Miss About Customer Lifetime Value

by Michael Schrage

APRIL 18, 2017

SUMMARY SAVE SHARE 5 COMMENT TEXT SIZE PRINT $8.95 BUY

Steven Moore for HBR

For managers and marketers alike, the power to calculate what customers might be worth is alluring. That’s what makes customer lifetime value (CLV) so popular in so many industries. CLV brings both quantitative rigor and long-term perspective to customer acquisition and relationships.

CLV Management – Customer Co-creation



- Leave the big decision to the customers, and allow them to take part in the product creation process

- Customers have bonds with the co-created products and share a sense of belonging with the brand that the co-create with

CLV Management – Customer Recommendation on Social Media



- Satisfied customers could act as brand endorsers on social media and raise the brand awareness, thereby reducing the acquisition costs.

- Customers have a tendency of seeking information online and are more likely to believe in the user-generated content, rather than brand-generated content.

CLV Management – Cost Reduction



Customers' regular and consistent purchases allows the brand to save costs in terms of …

- Advertising
- Warehouse (both stock space and inventory)
- Sales promotion
- Distribution expenses
- Research and development programme

CLV Management – New Product Trail



- Engage existing customers with new products to reduce the risks brough by the decline of existing products.
- Extend CLV with cross-selling techniques and introductory offers to lock in the existing customers

CLV Management – WOM Engagement



- Customers who share positive WOM about the brand is valuable
- Customers tend to believe in people who they have strong social ties with
- Positive feedback from other customers leads to the stronger sense of belonging with the brand (e.g. my brand or the brand I recommended).

CLV Management – Customers' Data Sharing



- Customers are more cautious with data sharing than ever.
- Customer data is key in effective customer acquisition and retention.
- With sufficient customer data, brands can make more accurate assumption and predictions.

Customer Experience

Customer Experience

- Customer experience originates from a set of ***interactions*** between a customer and a product, a company, or part of its organization, which provoke a reaction.

- This experience is strictly individual and implies that a customer's involvement can be at different levels (sensory, affective, intellectual, behavioural and relational).



Five Dimensions of Customer Experience

- The **sensory** dimension — the extent to which a brand appeals to and makes impressions on consumers' senses (e.g. Abercrombie and Fitch).
- The **affective** dimension — how strongly a brand induces consumer feelings and emotions (e.g. department stores' Xmas decoration).
- The **intellectual** (or cognitive) dimension — how much a brand stimulates a consumer's curiosity, thinking, and problem solving (e.g. build-a-bear and lego).
- The **behavioural** dimension — how strongly a brand engages consumers in physical activities (e.g. cosmetic trail services).
- The **relational** dimension — how well an experience creates value for customers by driving social engagement, providing a social identity, and a sense of belonging (e.g. luxury afternoon tea).



Four Realms of Customer Experience

- **Educational realm** — occurs when an individual learns and enhances their skills and knowledge (***e.g. education fairs***).
- **Entertainment realm** — occurs when an individual views a performance, listens to music, or reads for pleasure. The experience is absorbed (***e.g. live band in a restaurant***).
- **Aesthetic realm** — occurs when an individual passively appreciates an event or environment but leaves without affecting or altering the nature of the environment (***e.g. vintage boutique shop***).
- **Escapist realm** — occurs when individuals become completely immersed in their environment and actively participate so that they affect actual performances or occurrences in the environment (***e.g. free game playing in the department of electronic products***).



Creating memorable customer experience

- *Creating customer experiences through*
  - Instagram traps
    - https://www.youtube.com/watch?v=Qx_r-dP22Ps&list=PLJ8cMiYb3G5e5L-ozhdRhOPOdwqZorvi3&index=1
  - Smell
    - https://www.youtube.com/watch?v=P81i66_tLlU&index=2&list=PLJ8cMiYb3G5e5L-ozhdRhOPOdwqZorvi3
  - Store layout
    - https://www.youtube.com/watch?v=WYKUJgMRQ7A&index=4&list=PLJ8cMiYb3G5e5L-ozhdRhOPOdwqZorvi3

References and Further Reading

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- Hennig-Thurau, T., Gwinner, K. P., Walsh, G., & Gremler, D. D. (2004). Electronic word-of-mouth via consumer-opinion platforms: what motivates consumers to articulate themselves on the internet?. *Journal of interactive marketing*, *18*(1), 38-52.

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- Liu, H., Jayawardhena, C., Osburg, V. S., Yoganathan, V., & Cartwright, S. (2021). Social sharing of consumption emotion in electronic word of mouth (eWOM): A cross-media perspective. *Journal of Business Research*, 132, 208-220.

Learning Outcomes and Self-check List

Now, you should be familiar with the following concepts!

- *Electronic Word of Mouth*
- *eWOM Management Strategies*
- *Customer Lifetime Value Management*
- *Customer Experience*

Next Week

Topic: Email Marketing and Digital Customer Relationship Management

Pre-reading: Chapter 6 & 9 in the textbook

Contact

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Any Questions?